

IT Hardware and Communications Equipment

Implied AI Multiples – Optical Taking A Break

We are back to looking biweekly at how our AI-bucketed stocks have trended. Material movement was focused around optical names with most others not seeing much movement since the last reading. We also took a look at 'non-AI' plays in our coverage.

Roughly two weeks ago ([Implied AI Multiples - Rising Tides Lift Some](#), 06.01.26) we updated our biweekly AI exposure math that we debuted four months ago ([AI Update](#), 02.11.26). We also now track how implied AI multiples have trended across our AI bucketed stocks since we started this series. Recall, we started this analysis to assess what was embedded for our AI-related stocks across different sub-segments and exposure percentages.

Since the last report, on average, our AI-bucketed stocks' share prices have trended down MSD (vs SPX -2% and NDX -2% from 5.29.26-6.17.26), with SMCI's (-40%), FN's (-11%), and CIEN's (-25%) share price movement driving down the average. HPE continues to see upward share price movement (+12% in the same time period), whereas most of the other stocks were up/down LSD%. AI multiples across the group moved down on average since the last reading, driven by SMCI, FN, CIEN, and GLW – with CIEN earnings also moving FN in sentiment. These AI-bucketed stocks' share prices are still up on average almost 80% YTD, despite the recent pullback.

As a reminder, the select companies under our coverage that are commonly bucketed as 'AI plays' represent ~20% of total Cloud/AI capex, per our estimates, and these companies are experiencing meaningful revenue growth in their respective Cloud/AI businesses. In our original report, most of these stocks implied AI multiples of 20-40x, with some much higher (GLW, KEYS, CIEN) and a few much lower (SMCI, HPE). In this latest update, most are now in the 40-60x range, with GLW, KEYS, CIEN still higher, and DELL, HPE, and CSCO significantly higher vs earlier readings and SMCI still much lower (due to company-specific issues).

Below is our latest breakdown of these AI-bucketed stocks' percent of revenue from Cloud/AI as well as as a percentage of total AI spend, and their estimated cloud AI revenue growth from CY25-27.

IT Hardware and Communications
Equipment
NEUTRAL**IT Hardware and Communications
Equipment****Tim Long**

+1 212 526 4043

tim.long@barclays.com

BCI, US

Alyssa Shreves

+1 212 526 7570

alyssa.shreves@barclays.com

BCI, US

Mary Lenox

+1 212 526 6277

mary.lenox@barclays.com

BCI, US

Clarisse Yu

+1 212 526 7025

clarisse.yu@barclays.com

BCI, US

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FIGURE 1. Cloud AI revenue growth

<u>Share Price</u>	<u>Company</u>	<u>Rating</u>	<u>CY26E</u>	<u>CY26E</u>	<u>Cloud AI rev</u>		
			<u>% from Cloud/AI</u>	<u>% of total AI spend</u>	<u>CY25 growth</u>	<u>CY26 growth (E)</u>	<u>CY27 growth (E)</u>
\$27.78	SMCI	EW	86.9%	4.1%	57.7%	69.8%	20.8%
\$584.38	FN	OW	82.5%	0.4%	23.0%	40.6%	18.6%
\$380.37	CLS	OW	82.3%	1.6%	65.1%	51.1%	46.5%
\$164.93	ANET	OW	72.0%	0.9%	34.5%	35.5%	25.9%
\$436.72	CIEN	OW	56.2%	0.4%	71.6%	55.4%	39.4%
\$374.98	JBL	OW	40.0%	1.5%	65.1%	51.1%	46.5%
\$143.13	FLEX	OW	29.9%	1.0%	42.0%	52.3%	94.9%
\$419.32	DELL	OW	35.8%	6.3%	164.1%	144.1%	33.0%
\$350.70	KEYS	OW	19.2%	0.1%	86.4%	43.9%	21.3%
\$48.20	HPE	OW	16.6%	0.8%	1.4%	34.1%	14.7%
\$175.40	GLW	EW	17.4%	0.3%	101.8%	54.6%	71.7%
\$117.33	CSCO	EW	13.1%	0.9%	45.3%	127.2%	42.9%
	Average		46.0%		63.2%	63.3%	39.7%
	Total			18.5%			

Priced as of 6/17/26. Delta share price is vs our last report's pricing (5/29/26). Industry view: Neutral. OW = Overweight; EW = Equal Weight; UW = Underweight. For full disclosures on each covered company, including details of our company-specific valuation methodology and risks, please refer to <https://publicresearch.barcap.com>. Source: Barclays Research Estimates, Bloomberg, 650 Group

With Cloud AI growth moving higher across the industry, and the latest round of hyperscaler earnings highlighting increased capex expectations, our average cloud AI revenue growth CAGR for 2023-27E is ~62% on average vs our initial estimate of ~53%.

Below is a side-by-side comparison of current implied AI multiples vs May 29th.

FIGURE 2. Summary of Implied Current AI P/E

Share Price	Company	Rating	p/e on CY27	core p/E	implied AI p/e
\$27.78	SMCI	EW	7x	11x	3x
\$584.38	FN	OW	32x	14x	35x
\$380.37	CLS	OW	26x	12x	31x
\$164.93	ANET	OW	38x	32x	41x
\$436.72	CIEN	OW	44x	18x	76x
\$374.98	JBL	OW	21x	12x	31x
\$143.13	FLEX	OW	23x	12x	38x
\$419.32	DELL	OW	19x	10x	58x
\$350.70	KEYS	OW	28x	22x	68x
\$48.20	HPE	OW	12x	11x	58x
\$175.40	GLW	EW	45x	19x	134x
\$117.33	CSCO	EW	24x	18x	69x
	Average		27x	16x	54x

Industry view: Neutral. OW = Overweight; EW = Equal Weight; UW = Underweight. For full disclosures on each covered company, including details of our company-specific valuation methodology and risks, please refer to <https://publicresearch.barcap.com>
Source: Company Documents, Bloomberg, Barclays Research estimates.

FIGURE 3. Summary of Implied AI P/E as of 5/29/26

Share Price	Company	Rating	p/e on CY27	core p/E	implied AI p/e
\$46.09	SMCI	EW	11x	11x	7x
\$654.16	FN	OW	36x	14x	40x
\$385.39	CLS	OW	26x	12x	31x
\$159.47	ANET	OW	37x	32x	40x
\$580.23	CIEN	OW	64x	18x	115x
\$364.56	JBL	OW	23x	12x	37x
\$150.78	FLEX	OW	26x	12x	40x
\$420.91	DELL	OW	19x	10x	58x
\$338.33	KEYS	OW	27x	22x	63x
\$43.04	HPE	OW	15x	11x	55x
\$181.16	GLW	EW	47x	19x	141x
\$120.42	CSCO	EW	25x	18x	72x
	Average		30x	16x	58x

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Source: Company Documents, Bloomberg, Barclays Research estimates.

In the last update, within our illustrative math, we moved DELL's, HPE's, and CSCO's core business multiples up by a turn, given each's recent legacy business outperformance (on-prem seems to be doing better), ability to handle the current constrained component environment, and AI business momentum.

Despite CIEN's strong earnings print, given the run-up in the stock intra-Q (+107% vs SPX +11%, NDX +22% from 3.05.26-6.03.26), the print was not enough to drive the stock price higher, tumbling the stock and implied AI multiple. FN also saw downward pressure given its CM relationship to CIEN. SMCI announced \$7Bn equity and equity-linked financing transactions to fund AI orders early June, tumbling the stock on the implied dilution expectations.

FIGURE 4. AI Bucketed Stocks Implied AI Multiple Timeline

	SMCI	FN	CLS	ANET	CIEN	JBL	FLEX	DELL	KEYS	HPE	GLW	CSCO
CY26 % Cloud/AI Revenue	86.9%	82.5%	82.3%	72.0%	56.2%	40.0%	29.9%	35.8%	19.2%	16.6%	17.4%	13.1%
CY26 Cloud/AI Revenue Growth	69.8%	40.6%	51.1%	35.5%	55.4%	51.1%	52.3%	144.1%	43.9%	34.1%	54.6%	127.2%
CY27 Cloud/AI Revenue Growth	20.8%	18.6%	46.5%	25.9%	39.4%	46.5%	94.9%	33.0%	21.3%	14.7%	71.7%	42.9%
Current Multiple	6.5x	32.4x	25.8x	38.1x	43.7x	20.7x	23.2x	19.1x	28.4x	11.9x	45.1x	24.1x
Core Multiple	11.0x	14.0x	12.0x	32.0x	18.0x	12.0x	12.0x	10.0x	22.0x	11.0x	18.5x	18.0x
Current Implied AI Multiple	3.3x	35.4x	30.5x	41.3x	76.0x	31.0x	38.0x	58.0x	68.4x	58.0x	134.0x	68.5x
Implied AI Multiple - 5/29/26	7.3x	39.9x	31.0x	39.5x	115.3x	36.5x	40.3x	58.3x	63.2x	55.0x	141.0x	72.0x
Implied AI Multiple - 5/20/26	4.5x	40.5x	27.8x	33.5x	109.5x	33.8x	34.0x	35.3x	65.0x	35.5x	141.0x	70.0x
Implied AI Multiple - 5/7/26	4.8x	38.1x	31.0x	34.0x	106.3x	34.3x	34.5x	32.0x	88.5x	27.0x	142.0x	48.0x
Implied AI Multiple - 4/22/26	4.5x	41.7x	43.5x	55.0x	109.0x	39.0x	34.0x	33.8x	92.0x	33.0x	185.0x	33.0x
Implied AI Multiple - 4/08/26	3.0x	37.0x	33.5x	41.5x	111.0x	31.8x	27.5x	26.0x	83.0x	18.0x	190.0x	25.0x
Implied AI Multiple - 3/18/26	4.6x	30.7x	28.3x	37.0x	85.0x	26.6x	21.0x	18.5x	65.0x	6.5x	126.0x	17.0x
Implied AI Multiple - 2/26/26	5.5x	33.5x	28.5x	35.5x	69.8x	28.0x	20.0x	10.0x	75.5x	6.0x	157.0x	17.0x
Implied AI Multiple - 2/11/26	6.0x	30.0x	34.0x	42.0x	58.0x	27.0x	22.0x	13.0x	39.0x	8.0x	127.0x	34.0x

Priced as of 6/17/26

Source: Bloomberg, Company Documents, Barclays Research Estimates

- **SMCI** saw the largest share price movement in the bucket of stocks (-40% since 5.29.26) due to the financing announcement mentioned above and the implied share dilution expectations. In conjunction with the financing announcement, SMCI highlighted it received ~\$39Bn of incremental AI orders since Q-end that are expected to be fulfilled in the next ~2-3 Qs. However, the company has had issues in the past with hitting top-line expectations (with customer readiness usually cited), so it is unclear to us the realistic timeline on this order fulfillment.
- **CIEN** also saw material downward share price movement (-25% since 5.29.26), though we believe this largely due to the run-up in the stock into earnings ~two weeks ago. We do not view this as a slowdown in the optical space, but more so earnings not matching the high bar set by the share price run-up. However, because CIEN's earnings failed to meet street expectations, the stock also dragged down other optical plays, notably FN.
- **HPE** was a notable share gainer (+12% since 5.29.26), given strong earnings, [news](#) circulating around another activist fund taking a stake in the company, and follow-on effects from the positive sentiment from DELL earnings late last month. Interestingly, the implied AI multiple saw rapid acceleration since we began this series, moving from HSD to now >50x. We continue to like the stock, given the company's higher margin networking business and conservative guide for the year.

We also take a look at companies under our coverage that have been excluded from the AI wave (i.e., AAPL, GRMN, AXON, MSI, etc.) and look at how their multiples compare since our last report and also vs their respective 'core' P/E multiples. These stocks, on average, are down HSD since our last reading on May 29th (vs SPX -2%).

FIGURE 5. Summary of non-AI plays multiples as of current pricing

<u>Share Price</u>	<u>Delta Share Price</u>	<u>Company</u>	<u>p/e on CY27</u>	<u>core p/e</u>
\$295.95	-5%	AAPL	29x	17x
\$231.89	-1%	GRMN	23x	22x
\$105.94	-13%	LOGI	17x	22x
\$72.67	-9%	P	26x	70x
\$154.81	-11%	NTAP	16x	15x
\$23.18	-14%	HPQ	7x	10x
\$46.47	-11%	NTNX	20x	50x
\$384.88	0%	FFIV	21x	17x
\$423.01	-6%	AXON	41x	68x
\$400.70	-1%	MSI	21x	19x
		Average	22x	31x

Pricing as of 6/17/26

Source: Company Documents, Bloomberg, Barclays Research Estimates

FIGURE 6. Summary of non-AI plays multiples as of 5/29/26

<u>Share Price</u>	<u>Delta Share Price</u>	<u>Company</u>	<u>p/e on CY27</u>	<u>core p/e</u>
\$312.06	3%	AAPL	31x	17x
\$233.92	-1%	GRMN	24x	22x
\$121.87	17%	LOGI	20x	22x
\$79.51	2%	P	28x	70x
\$174.29	46%	NTAP	18x	15x
\$27.04	28%	HPQ	9x	10x
\$52.07	16%	NTNX	22x	50x
\$383.45	0%	FFIV	21x	17x
\$448.72	13%	AXON	44x	68x
\$403.28	2%	MSI	21x	19x
		Average	24x	31x

Pricing as of 5/29/26

Source: Company Documents, Bloomberg, Barclays Research Estimates

- Multiple movement remained relatively muted vs the prior reading. We continue to believe the majority of these names are grouped in more 'defensive' buckets that have seen more limited share price movement, though acknowledge some of the idiosyncratic recent material movement in some of the stocks and multiples.

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Apple, Inc. (AAPL, 17-Jun-2026, USD 295.95), Underweight/Neutral, CD/CE/D/E/J/K/L/M/N

Arista Networks, Inc. (ANET, 17-Jun-2026, USD 164.93), Overweight/Neutral, J

Axon Enterprise, Inc. (AXON, 17-Jun-2026, USD 423.01), Overweight/Neutral, CD/CE/D/J/K/L/N

Celestica Inc. (CLS, 17-Jun-2026, USD 380.37), Overweight/Neutral, J

Ciena Corporation (CIEN, 17-Jun-2026, USD 436.72), Overweight/Neutral, CD/CE/J

Cisco Systems, Inc. (CSCO, 17-Jun-2026, USD 117.33), Equal Weight/Neutral, CD/CE/D/J/K/L/M

Corning Incorporated (GLW, 17-Jun-2026, USD 175.40), Equal Weight/Neutral, CD/CE/J

Dell Technologies Inc. (DELL, 17-Jun-2026, USD 419.32), Overweight/Neutral, A/D/E/J/K/L/M/N

Everpure, Inc. (P, 17-Jun-2026, USD 72.67), Equal Weight/Neutral, CE/J/K/M

F5, Inc. (FFIV, 17-Jun-2026, USD 384.88), Equal Weight/Neutral, CE/J/K/M/N

Fabrinet (FN, 17-Jun-2026, USD 584.38), Overweight/Neutral, CE/J

Flex Ltd (FLEX, 17-Jun-2026, USD 143.13), Overweight/Neutral, A/CD/CE/D/E/FA/J/K/L/M/N

Garmin (GRMN, 17-Jun-2026, USD 231.89), Equal Weight/Neutral, CE/J/K/M/N

HP Inc. (HPQ, 17-Jun-2026, USD 23.18), Underweight/Neutral, CD/CE/E/J/K/L/M/N

Hewlett Packard Enterprise Company (HPE, 17-Jun-2026, USD 48.20), Overweight/Neutral, A/CD/CE/D/E/FA/J/K/L/M

Jabil (JBL, 17-Jun-2026, USD 374.98), Overweight/Neutral, CD/CE/J

Keysight Technologies, Inc. (KEYS, 17-Jun-2026, USD 350.70), Overweight/Neutral, CD/CE/D/E/FA/J/K/L/M

Logitech (LOGI, 17-Jun-2026, USD 105.94), Equal Weight/Neutral, CE/FA/J

Motorola Solutions, Inc. (MSI, 17-Jun-2026, USD 400.70), Overweight/Neutral, CD/J

NetApp, Inc. (NTAP, 17-Jun-2026, USD 154.81), Overweight/Neutral, CD/CE/J

Nutanix, Inc (NTNX, 17-Jun-2026, USD 46.47), Equal Weight/Neutral, FA/J

Super Micro (SMCI, 17-Jun-2026, USD 27.78), Equal Weight/Neutral, D/FA/J/L

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